

Developments since 1934 have strongly buttressed our opinion, so that we now can advance no less than five major reasons for accepting, in general, the income tax figure rather than the income-account basis of depreciation. These are:

1. The straight-line basis follows a definite and logical accounting theory. If it resulted in an excessive deduction the Treasury Department would not accept it. The various retirement-reserve bases are either entirely arbitrary or technically unsound.

2. The inadequacy of the "retirement reserve" idea in general has been shown by the necessity in many cases of making large transfers from surplus to bolster the retirement account. *Example:* See Brooklyn Union Gas exhibit earlier in this chapter.

3. Since 1934 there has been an almost universal increase in the retirement allowances—both absolutely and percentagewise. This may be considered a virtual confession of past inadequacy. The extent of these increases is indicated by our table that follows, which supplies information concerning depreciation or retirement allowances, as well as maintenance charges, covering the years 1930 and 1938 for a number of utility companies. It is to be noted that in the earlier year the companies using the retirement basis generally made lower charges than those using the depreciation basis. Observe, also, that a number of the companies previously using the retirement method have since switched to a depreciation basis. Moreover, a considerable number of the companies that used the retirement basis in 1938 were on the verge of a transfer to a depreciation basis under the impetus of requirements of the Federal Power Commission and of various state commissions.

4. A number of state commissions and the Federal Power Commission have now ordered companies within their jurisdictions to follow a regular depreciation basis in all their accounts.

Examples: Pennsylvania, Michigan and New York.¹⁰ Some important companies are perforce switching over to the income tax basis in their

¹⁰ After endeavoring in 1934 to impose a strict straight-line depreciation policy upon New York utilities and having met with reversals in court, the New York Public Service Commission promulgated a new rule which requires each utility company to record the estimated amount of depreciation accrued each month. Depreciation is defined as "the net loss in service value not restored by current maintenance, incurred in connection with the consumption or prospective retirement of plant in the course of service from causes which are known to be in current operation and against which the utility is not protected by insurance." This is undoubtedly a move in the direction of straight-line depreciation accounting.